

Assignment 4 (Merchandise Inventory)

The following data was taken from ledger account balances and supplementary data for the Whisk Company.

Merchandise inventory, beginning.....	\$ 20,000
Merchandise inventory, ending.....	23,000
Purchases.....	215,000
Purchases discounts.....	6,000
Purchases returns and allowances.....	3,000
Sales.....	400,000
Sales discounts.....	3,200
Sales returns and allowances.....	1,800
Transportation-in.....	10,000

Require:

Show the computation in Income Statement format of **net sales, cost of goods sold and gross profit** for the year ended on December 31, 20XX.

1	Net sales	
	Sales.....	\$400,000
	Less: Sales discounts.....	(3,200)
	Sales returns and allowances.....	<u>(1,800)</u>
	Net sales.....	<u><u>\$395,000</u></u>
2	Cost of merchandise purchased	
	Purchases.....	\$215,000
	Purchase discounts	(6,000)
	Purchase returns and allowances.....	(3,000)
	Costs of transportation-in.....	<u>10,000</u>
	Total cost of merchandise purchases.....	<u><u>\$216,000</u></u>
	Beginning Inventory.....	\$ 20,000
	Total cost of merchandise purchases (from part 2)....	<u>216,000</u>
	Goods available for sale.....	236,000
	Ending inventory.....	<u>(23,000)</u>
	Cost of goods sold.....	<u><u>\$ 213,000</u></u>

Multiple-step income statement

Whisk Company Income Statement For Year Ended December 31, 20XX	
Net sales.....	\$395,000
Cost of goods sold.....	<u>213,000</u>
Gross profit.....	<u><u>182,000</u></u>